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Mergers and acquisitions in family businesses: current literature and future insights

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Mergers and acquisitions in family businesses: current literature and future insights

M&A in family businesses

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Abstract

Purpose – The purpose of this paper is to examine the current state of literature concerning mergers and acquisitions (M&A) in family businesses and to highlight areas for future research.

Design/methodology/approach – This literature review systematically analyses the findings of 41 journal articles on M&A in family businesses, identifying key thematic categories according to the main topics of the studies.

Findings – This study finds that it is important to distinguish and examine the type of governance, such as family and non-family, when studying M&A issues, because their distinctive features influence their strategic choices, business goals, and, thus, M&A behavior. Three topic areas are identified in existing research: M&A propensity, process, and performance. Furthermore, methodological and definitional issues regarding the findings are discussed.

Research limitations/implications – The findings imply that owing to their idiosyncratic nature, the use of alternative theoretical frameworks in addition to agency theory is encouraged in future studies in order to better capture the nature of family businesses. In general, further research on M&A issues in family business settings is needed, especially in the pre-merger phase, which is crucial to M&A performance.

Social implications – Overlooking particular issues that may arise in the context of transactions involving family businesses may lead to problems in M&A processes. Recognizing the importance of these issues in such transactions has important value for practitioners supporting family businesses in M&A processes.

Originality/value – This study takes the first step in analyzing the literature on M&A in family businesses, establishing linkages between family business, corporate governance, and financial management literature, and structuring the existing research to highlight opportunities with relevance for both theory and practice.

Keywords Family business, Literature review, Mergers and acquisitions

Paper type Literature review

1. Introduction

Mergers and acquisitions (M&A) are a unique form of entrepreneurial activity through which a company merges with or acquires another business (Granata and Chirico, 2010), representing a popular, although risky, way for firms to expand and complement their existing resources. Despite the existence of vital research, M&A failure rates are claimed to be extremely high, between 50 and 80 percent (Cartwright, 2005; Cartwright and Schoenberg, 2006); the determinants of the success or failure of such transactions remains unclear (Ellis *et al.*, 2009). Not much is known about the growth strategies of family businesses, and particularly M&A (Astrachan, 2010). This may not be surprising, if one considers that for family firms M&A may almost seem “the antithesis of survival” (Steen and Welch, 2006). Indeed, M&A present both possibilities and threats for all companies, but for family firms there are additional questions that need to be answered. M&A can provide family firms with a successful exit in the case of a generational transition (Steen and Welch, 2006; Klasa, 2007; Goossens *et al.*, 2008), as well as possibilities for rapid external growth. However, M&A may also dilute their ownership power (Basu *et al.*, 2009) and the financial security and autonomy of the family, thus destroying the



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continuity of the family legacy. A recent popular article shows that, despite these concerns, family businesses are actively involved in M&A transactions (Family Capital, 2015).

Previous empirical findings, though limited, suggest that family firms' M&A behavior differs from that of firms with a different ownership structure (Feito-Ruiz and Menéndez-Requejo, 2010). The reasons vary, but include their different governance structures (Carney, 2005), financial preferences (Gómez-Mejía *et al.*, 2007), social priorities, as well as family-related, non-economic goals (Miller *et al.*, 2010; Niedermeyer *et al.*, 2010). These features influence the strategic performance of family businesses (Feito-Ruiz and Menéndez-Requejo, 2010), which is why current M&A theories cannot be unconditionally applied to family firms. The first study to examine the topic was undertaken almost 30 years ago (Astrachan, 1988), but only in the last ten years has it begun to gain more attention in academic research. The first literature on M&A dates back almost 100 years (Dewing, 1921), encompassing a wide range of topics from pre-deal analyses to the integration and success of deals, as well as different points of view, including organizational, behavioral, strategic, and financial perspectives. However, the few studies that focus specifically on family businesses in the context of M&A are scattered among corporate finance and family business disciplines. To the best of my knowledge, this is the first study to review the literature on this topic.

This paper argues that the popularity of M&A and its important implications for family businesses, in particular, mean that this topic warrants additional academic research. For example, Gisser and Gonzalez (1993, p. 40) note that "insensitivity on the part of buyers and advisors to particular issues that arise in the context of the family-held company has created some real problems in many transactions." As such, several areas are identified here as topics for future research.

Recent systematic literature reviews in the *Journal of Family Business Management* discuss a variety of topics. Beck (2016) reviews the literature on brand management in family businesses and Fuetsch and Suess-Reyes (2017) do the same for family firm innovation, both adopting a similar methodology used here. They describe explicit steps in the process (Siebels and zu Knyphausen-Aufseß, 2012; Tranfield *et al.*, 2003), forming thematic categories and developing future research questions. This study adds to this line of discussion by examining a finance topic not discussed previously in this forum, and applying a systematic methodology to pursue new areas for research. The goal of this study is to help practitioners understand current research and then to use this understanding to make their decisions (Tranfield *et al.*, 2003).

The remainder of this paper is structured as follows. First, the general research purpose is presented, including a discussion of relevant background literature. Thereafter, the methodology and the steps of the systematic literature review are described. The subsequent section examines the findings, highlighting emerging topics and important observations. Several important questions are raised for future researchers, divided into three major topics: propensity, process, and performance. The final sections discuss the limitations of the study and conclude the paper.

The findings of this study have several implications. First, the empirical findings confirm the importance of examining the M&A phenomenon in the context of family businesses. Despite this stream of research being in an early stage, it is fruitful at this point to review the first 30 years of research, both for academics and practitioners. M&A activity is stronger than ever, with the global deal volume reaching US\$3.4 trillion in 2016, for the first time since 2007 (Bloomberg, 2016). In addition, with regard to their prevalence in the global economy (La Porta *et al.*, 1999; Sharma *et al.*, 1997; Villalonga and Amit, 2006), family businesses are very much involved in such transactions. The aim of this review is to provide insights into the field of family business M&A by creating a theoretical synthesis of existing studies, as well as help practitioners in accumulating reliable knowledge on the topic (in the spirit of Tranfield *et al.*, 2003). Beyond offering a state-of-the-art view, this study aims to

raise awareness about the idiosyncratic features of family firms among corporate finance practitioners and M&A specialists, as well as offer new theoretical insights to build synergies between the M&A, corporate governance, and family business disciplines. In addition, this study offers a more nuanced understanding of family firm M&A behavior, and the distinctive business orientation of such firms, which certainly appears to differ from that of non-family firms.

2. Method

In conducting this literature review, the guidelines of a systematic literature review are followed (e.g. Pindado and Requejo, 2015; Siebels and zu Knyphausen-Aufseß, 2012). The review covers 41 empirical and theoretical papers from various academic journals, published between 1988 and 2015 (e.g. Yu *et al.*, 2012, p. 36). The search for relevant articles covered in this review follows the steps given below:

- (1) A keyword search is conducted in five databases: ABI/Inform Global, Web of Science, EBSCO Business Source Premier, SAGE Online, and Wiley InterScience. The keyword combinations were selected based on previous literature reviews (Siebels and zu Knyphausen-Aufseß, 2012): “family business” (Pindado and Requejo, 2015; Yu *et al.*, 2012), “family firm*” (Hiebl, 2013; López-Fernández *et al.*, 2016; Senftlechner and Hiebl, 2015), “family control*” (Hiebl, 2013; López-Fernández *et al.*, 2016), “family led” (Hiebl, 2013), “family enterprise,” “home based” (Yu *et al.*, 2012), and “family own*” (López-Fernández *et al.*, 2016). These family business keywords were combined with the following M&A keywords: “M&A,” “merger,” and “acquisition” (please refer to the Table AI for the full list of keywords and the numerical search results). A full text search was performed, and the results were scanned by title and abstract for suitable articles. To the best of my knowledge, this is the first review to examine this topic. The time span was set to the search date (September 2016), focusing on works published in peer-reviewed academic journals, as these studies contribute to building a distinctive body of literature (e.g. Bird *et al.*, 2002). To systematically exclude irrelevant articles and to ensure that those included have certain qualifications, criteria for inclusion and exclusion were applied to all articles after the keyword search (as suggested by Randolph, 2009). Because the topic is not specific to family businesses, but also includes areas of corporate finance and corporate governance, it is assumed that the articles are scattered among a number of journals. Thus, a journal search alone is not sufficient, and that is why a database search was conducted prior to the journal search. For the numerical results, please see the Table AI.
- (2) To search for additional articles and to ensure the coverage of the search, an additional keyword search was conducted in 20 selected journals, which was applied in a systematic literature review examining family business from a corporate governance perspective (Pindado and Requejo, 2015). This review was selected as the basis for the journal selection because the topic covers not only areas in family business, but also corporate finance and corporate governance. The journals selected by Pindado and Requejo (2015) suit these areas. The journals cover works from various streams of literature, concentrating on corporate governance, which is particularly important to the topic of this review, incorporating family business literature and management and accounting literature. Journal selection is based on the Journal Citation Reports’ ranking by journal impact factor (see Pindado and Requejo, 2015). The authors consider 30 journals in their search (without using a database search), whereas this study searched the 20 journals that accounted for most of their results. After the database search, the journal search resulted in one additional article, after excluding duplicates. This further confirms the suitability of the database search.

The following seven-step process is used to select articles (as in Siebels and zu Knyphausen-Aufseß, 2012):

- (1) select the most accurate journals for the topic, referring to acknowledged review articles in family business research (Pindado and Requejo, 2015);
- (2) conduct a keyword search in electronic databases (in this study, the database search was conducted first, followed by the journal search);
- (3) scan and sort the results, eliminating duplicates;
- (4) eliminate irrelevant references by title and abstract;
- (5) read the full text of the papers and consider their suitability according to their theme (e.g. articles that did not report any results in family business M&A are not selected);
- (6) search for additional articles by scanning the references of the included articles; and
- (7) include additional literature suggested by colleagues and experts in the field.

After performing the keyword search in the five databases and 20 selected journals, a preliminary sample of 55 articles were scanned and sorted. Articles that did not suit the inclusion/exclusion criteria (Randolph, 2009) were eliminated. Examples of eliminated articles are those that concentrate on firm valuation, rather than on M&A (e.g. Ahlers *et al.*, 2014), those with no scientific references (e.g. Gilbert, 1989), and those where the main point of interest is succession or where M&A is merely mentioned (e.g. Sakinah Azizan and Ameer, 2012). Articles were required to examine family business and M&A, specifically, where the family firm should be an acquirer or an acquisition target, or both, or to examine family firms as sellers in M&A. In addition, studies on family firm divestitures are included, divestitures being an important source of M&A activity. The included articles should report results, either theoretical or empirical, on M&A activity in family businesses, and be written in English. Only one theoretical paper was found that met the other criteria (i.e. the main point of the analysis met the topic of the review). Publications considered relevant to this literature were peer-reviewed journal articles in order to ensure the quality. After excluding irrelevant results from the preliminary sample, 37 articles were identified (36 from the database search and one from the journal search). Additional articles were searched by applying the “cited by” search in Google Scholar for each of the 37 articles resulted in the database and journal search. This step yielded three additional articles (Bernini *et al.*, 2014; Bjursell, 2011; Feito-Ruiz *et al.*, 2016). The additional articles were scanned further for citations until no new articles appeared. Furthermore, colleagues and experts in the field suggested additional articles to be included in the review. This step resulted in one additional article (Astrachan, 1988). After completing the search steps and applying the criteria, a total of 41 articles were selected for analysis. When conducting the analysis, the following aspects were of particular interest: methodology, theoretical framework(s) used, topic of research, and key findings. The studies were further categorized into three thematic groups, according to their key topics and findings: propensity, process, and performance. The papers were categorized while reading and analyzing the articles and coding the key focus points (topic of research, findings, theoretical frameworks, methodology). Identifying and categorizing key themes and research questions is common in systematic literature reviews (Tranfield *et al.*, 2003). As the reviewed articles represent several research areas, from finance to organizational culture, no specific framework was applied in the categorization, instead being based on the author’s analysis. The main factor in categorizing the studies was the main topic of the study. Many studies in the same thematic group follow a similar methodology, owing to the nature of the topic.

3. Descriptive findings

This section first briefly describes the selected articles, followed by a description of the definitions, methodologies, samples, and theories applied in the analyzed articles. The 41 articles included in the analysis were published in 31 different journals between 1988 and 2016, the peak years being 2010 and 2014, with seven and six articles, respectively (see Table I). The journals are categorized within their field of study, and assigned by author, following the work of Hiebl (2013), as well as the scope and aims of each journal, taken from their websites. After the first study in 1988, there was a long gap before the next one appeared in 1996. After 2001, articles began to appear almost yearly. This is in line with the general M&A literature during the last ten years, during which both the research and the level of M&A activity remained high worldwide (Cartwright, 2005). The leading journal in the family business area, *Family Business Review*, published six of the examined articles. Otherwise, the publications are scattered evenly between finance and economics journals and business and management journals, which published 17 and 16 articles, respectively. Only one article was published in an entrepreneurship journal. The distribution of the journals reflects the topic. On the one hand, it is a particular area in family business research, whereas on the other, it is a specific issue in finance and management research. The next section examines several definitions related to family businesses in the examined articles, and then discusses the main topics of the articles.

3.1 Definitions

In order to analyze the selected articles, it is important to consider how they define family firms. Although a commonly accepted definition of the examined phenomenon would be ideal (Chrisman *et al.*, 2005, p. 556), there is, as yet, no such definition for family businesses (Steiger *et al.*, 2015). In defining a family firm, we need to distinguish between ownership, control, and management (Villalonga and Amit, 2006). However, we also need to consider the nature of the involvement, namely active or passive (i.e. family firms where the family is actively engaged in management, or firms where family holds only an ownership stake), and the type of involvement in different strategic functions and positions, namely management or board (Matzler *et al.*, 2015).

Recent studies in the family business literature have examined the variation in the definitions, such as the components-of-involvement (COI) approach, essence approach, and the combination of the two, namely the F-PEC approach (Steiger *et al.*, 2015). The majority of the articles in this analysis (80 percent) rely on the COI approach, where the family firm is defined on the basis of the family's involvement in the company, whether controlled through shares, management, and/or governance (Zellweger *et al.*, 2010). Of the analyzed studies, 17.5 percent adopt a qualitative case study method, and do not provide a specific definition of a family firm. Instead, they define the sample firms subjectively as family firms, describing the family influence on the business activities and on M&A. These studies follow the essence approach, which concentrates on typical family business behavior, and whether the family members in the company consider it to be a family firm (Chrisman *et al.*, 2005).

The combination of the two approaches, the F-PEC approach, is not applied fully in any of the studies. Only one study, that of Bernini *et al.* (2014), attempted to apply it, but they were only able to examine the aspect of power, that is the percentage of voting rights and family representatives in the board and management. They were not able to examine other aspects, such as experience and culture.

This variation present in the studies in this analysis, as well as in the definitions, is common in family business research (Chua *et al.*, 1999), and can be problematic. It makes comparisons of the findings difficult, if not impossible, and may also produce conflicting results (Steiger *et al.*, 2015). It is also found in this analysis that studies relying on secondary data from databases and stock markets largely use the COI approach, because it is not always possible to access the information needed for the essence or the F-PEC approaches (Steiger *et al.*, 2015). Although it

Table I.
The journals of the
articles retrieved

Journal Field, Title	Year	1988	1996	2001	2002	2003	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	Total
Entrepreneurship											1							1
<i>Entrepreneurship & Regional Development</i>											1							1
Family Business																		1
<i>Family Business Review</i>	1						1	1			2		1					7
<i>Journal of Family Business Strategy</i>												1						6
Finance/Economics																		1
<i>Applied Economics</i>																	1	17
<i>Asia-Pacific Journal of Financial Studies</i>																1		1
<i>European Financial Management</i>										1					1			1
<i>International Review of Financial Analysis</i>												1						1
<i>Journal of Banking and Finance</i>												1						1
<i>Journal of Business, Finance and Accounting</i>							1											1
<i>Journal of Corporate Finance</i>								1				2					1	4
<i>Journal of Financial and Quantitative Analysis</i>									1									1
<i>Journal of Economics and Finance</i>															1			1
<i>Journal of Economic Finance</i>									1						1			1
<i>Journal of Private Equity</i>																		1
<i>Journal of the European Economic Association</i>								1										1
<i>Review of Financial Studies</i>													1					1
<i>The Journal of Finance</i>										1								1
Business and management																		1
<i>Administrative Science Quarterly</i>				1														16
<i>Asia-Pacific Journal of Economics and Business</i>											1							1
<i>British Journal of Management</i>													1					1
<i>Canadian Journal of Administrative Sciences</i>								1										1
<i>Corporate Governance: An International Review</i>									1	1								2
Decision													1					1
<i>European Management Journal</i>																1		1
<i>International Business Review</i>														1				1
<i>International Journal of Organizational Analysis</i>	1																	1
<i>Journal of Applied Business Research</i>															1			1
<i>Journal of Management</i>																1		1
<i>Journal of Management & Governance</i>															1			1
<i>Smergie – Italian journal of management</i>															1			1
<i>Strategic Management Journal</i>											1				1			2
Total		1	1	1	1	1	1	2	3	1	7	4	1	5	5	3	3	41

must be acknowledged that, as with families, no two family firms are alike and, thus, different forms of family involvement should be accepted and addressed in research as well. Multidimensional scales and measures offer a way to account for the heterogeneous nature of family firms, such as measuring the forms of family involvement in different positions in the firm (Chua *et al.*, 2012). On the other hand, it can be questioned whether even the most sophisticated measures can truly capture and address the heterogeneity of family firms (Siebels and zu Knyphausen-Aufseß, 2012). On this thought, O'Boyle *et al.* (2012) suggest "moving beyond measurement," because measures do not seem to have an impact on firm performance relations. Steiger *et al.* (2015) suggest creating standard definitions for certain types of studies, according to their data sources and methodological choices, in order to gain more comparability, at least among different types of studies. This study argues that it is important to recognize the differences and be aware of them when comparing the results. Table II shows in detail how the reviewed articles define family firms: whether they define a condition for a family firm with a specific ownership threshold, a condition for the family's active participation in the company, or both, or several measures.

3.2 Methodologies, measures, and samples of the reviewed articles

The synoptic Table II summarizes the articles examined and their details, such as family firm definitions and methodologies used. This section examines the methodologies applied in the articles. With regard to the analytical approach, most of the studies (34.83 percent) use a quantitative methodology, along with a regression analysis of some form. Seven studies (17 percent) examine the phenomenon using qualitative methods, primarily by means of case studies with interviews and an exploratory view. Only one study proposes a theoretical model with no empirical results (Niedermeyer *et al.*, 2010). The studies focusing on M&A performance measure the performance using cumulative abnormal returns and companies' stock prices, around the deal announcement and then afterwards (e.g. Basu *et al.*, 2009; Feito-Ruiz and Menéndez-Requejo, 2010; Wong *et al.*, 2010; Caprio *et al.*, 2011; Bouzgarrou and Navatte, 2013). Performance is therefore measured by shareholders' valuations or by bidder's gains, in the case of private firms (Gonenc *et al.*, 2013). Almost all samples are from large public firms (Bauguess and Stegemoller, 2008; Miller *et al.*, 2010; Caprio *et al.*, 2011), whereas samples of private firms are in the minority (Granata and Chirico, 2010; Gonenc *et al.*, 2013). These attributes are in line with the general M&A literature, where the main focus has been on the performance variance, and the strategic attributes attempting to explain it (Cartwright and Schoenberg, 2006). The data of the analyzed empirical studies were collected in various countries. Most samples are taken from European countries (15 studies), whereas others include the USA (nine studies), Canada (three studies), and Asian countries (nine studies). Two of the studies have a global sample, and two are based on Australia. Thus, the geographical scope is wide, but the number of studies in each area is relatively low. Distinguishing among the sample countries is important in M&A research, because the legal environments and corporate governance vary greatly from area to area. It is rather surprising that only nine studies (Achleitner *et al.*, 2010; André *et al.*, 2014; Bae *et al.*, 2002; Ben-Amar and André, 2006; Craninckx and Huyghebaert, 2015; Feito-Ruiz and Menéndez-Requejo, 2010; Franks *et al.*, 2012; Huang *et al.*, 2014; Song and Rath, 2010) consider the influence of the legal environment and the national corporate governance system, despite it having an influence on performance. The characterization of weaker and stronger shareholder protection systems is traditionally based on the divergence between common law and civil law systems. Based on historical tradition and colonial issues, some countries, such as the USA, Canada, Australia, and some Southeast Asian countries, have a common law system, whereas France, Spain, and their former colonies are part of the French civil law tradition. Germanic countries of Europe, as well as some countries in East Asia belong to the German civil law systems. The common law countries have been

Table II.
Synoptic table of the
reviewed articles

Authors	Sample country	Sample size	Industry	Data collection		FB Definition		Approach	Analytical approach	
				Survey study	Secondary Case study (database)	Ownership	Other condition		Qualitative	Quantitative (regression)
Achleitner <i>et al.</i> (2010)	Europe	115 deals	Multiple		X		Ultimate owner a member of the family	COI		X
André <i>et al.</i> (2014)	Canada	215 deals	High-technology		X	≥10%	Family is the largest owner/individual/group, founder or descendant	COI		X
André <i>et al.</i> (2008)	Canada	2 firms, one deal	Newsprint	X		–	subjective definition: case study	E	X	
Astrachan (1988)	USA	1 firm, 2 deals	Manufacturing	X		–	Subjective definition: case study	E	X	
Bae <i>et al.</i> (2002)	Korea	107 bidders, 31 deals	Multiple		X	≥20%	–	COI		X
Basu <i>et al.</i> (2009)	USA	221 firms	Multiple		X	–	Family as the largest shareholder	COI		X
Bauguess and Stegemoller (2008)	USA	1,411 deals of 498 firms	Multiple		X	≥5%	Family ownership OR involvement in the management	COI		X
Ben-Amar and André (2006)	Canada	238 deals of 183 firms	Multiple		X	–	Family as the largest shareholder (involvement controlled)	COI		X
Bermini <i>et al.</i> (2014)	Italy, public firms	141 firms	Multiple		X	≥20%	≥50% owned by at least 2 family members OR ≥20% and at least one family member in the board	COI (F-PEC)		X
Bjursell (2011)	Swe/Fin	1 deal	Food	X		–	Subjective	E	X	
Bouzgarrou and Navatte (2013)	France	239 deals	Multiple		X	≥51%	One or more family members as a director or officer	COI		X
(continued)										

(continued)

Authors	Sample country	Sample size	Industry	Data collection		Ownership	FB Definition		Approach	Analytical approach	
				Survey	Case study		Secondary (database)	Other condition		Qualitative	Quantitative (regression)
Caprio <i>et al.</i> (2011)	Europe	777	Multiple			X	≥20%	Ultimate owner a member of the family	COI		X
Chen <i>et al.</i> (2009)	Asia	2,741 deals	Multiple			X	–	Over one half of the directors are family members	COI		X
Craninckx and Huyghebaert (2015)	Europe	342 deals	Multiple			X	–	If the largest shareholder is an individual or multiple members of the same family hold ≥20%.	COI		X
De Cesari <i>et al.</i> (2016)	Europe	760 firms	Multiple			X	≥25%		COI		X
Feito-Ruiz and Menéndez-Requejo (2010)	Europe	124 deals	Multiple			X	–	Family as the largest shareholder (involvement controlled)	COI		X
Feito-Ruiz <i>et al.</i> (2016)	Global	10,766 firms	Multiple			X	≥5%	–	COI		X
Feldman <i>et al.</i> (2016)	USA	2,110 firms	Multiple			X		Founder or his/her family members in the top management OR blockholder, either individually or as a group	COI		X
Franks <i>et al.</i> (2012)	Europe	4,000 firms	Multiple			X	≥25%	–	COI		X
Geppert <i>et al.</i> (2013)	Europe	12 deals	Brewery	X		X	–	Subjective cases	E	X	
Gleason <i>et al.</i> (2014)	USA	307 deals	n/a			X	≥20%		COI		X
Gomez-Mejia <i>et al.</i> (2015)	USA	692 firms, 867 deals	Manufacturing			X	≥5%	Additionally at least 1 family member as top executive or board member	COI		X
(continued)											

(continued)

Table II.

Table II.

Authors	Sample country	Sample size	Industry	Data collection		FB Definition		Approach	Analytical approach	
				Survey	Case study	Secondary (database)	Ownership	Other condition	Qualitative	Quantitative (regression)
Gonenc <i>et al.</i> (2013)	Europe	391 deals	multiple			X	≥20%	No involvement condition	COI	X
Goossens <i>et al.</i> (2008)	Belgium	167 deals	multiple			X	–	Not described	–	X
Granata and Chirico (2010)	Western Europe	59 pairs of companies	Food & Drink			X	≥51%	Two or more family members as directors or officers	COI	X
Huang <i>et al.</i> (2014)	Taiwan	91 deals	IT			X	–	Over 50% of the directors are family members	COI	X
Klasa (2007)	USA	84 firms	Multiple				≥20%		COI	X
Leepsa and Mishra (2013)	India	190	Manufacturing			X	≥10%		COI	X
Li <i>et al.</i> (2015)	China	1,703 deals	Multiple			X	–	Family as ultimate owner	COI	X
McEntire and Bentley (1996)	USA	2	Tourism		X		–	Subjective: case	E	X
Mickelson and Worley (2003)	Australia	1 deal	Manufacturing		X		–	Subjective: single case	E	X
Miller <i>et al.</i> (2010)	USA	898	Multiple			X	≥5%	Multiple family members involved either by ownership or management position	COI	X
Niedermeyer <i>et al.</i> (2010)	–	–	(Theoretical, no sample)	–	–	–	≥50%	–	–	–
Palmer and Barber (2001)	USA	461 public firms	Multiple			X	–	Family as ultimate owner	COI	X
Pazzaglia <i>et al.</i> (2013)	Italy, public firms	1,254	Multiple			X	–	Family as ultimate owner	COI	X

(continued)

Authors	Sample country	Sample size	Industry	Data collection		FB Definition		Approach	Analytical approach	
				Survey study	Case study	Secondary (database)	Ownership	Other condition	Qualitative	Quantitative (regression)
Shim and Okamuro (2011)	Japan	1,273	Multiple			X	–	Founder or his/her family members among the ten largest shareholders OR in the top management	COI	X
Song and Rath (2010)	Malaysia	63 pairs of companies	Multiple			X	–	Family as the largest shareholder	COI	X
Sraer and Thesmar (2007)	France	2,973 firms	Multiple			X	≥20%	Founder or a member of the founder's family is a blockholder, no involvement required	COI	X
Steen and Welch (2006)	Australia	1 deal	Wine				–	Subjective: single case	E	X
Wong <i>et al.</i> (2010)	Taiwan	283 deals of 131 firms	Multiple			X	≥10%	Family as the largest shareholder, family influence on board	COI	X
Zhou <i>et al.</i> (2011)	Thailand	214 firms	Multiple			X		Family as the largest shareholder / membership of business group controlled	COI	X

Table II.

described as having a strong legal system to protect minority shareholders, whereas civil law countries are described as being weaker (La Porta *et al.*, 2000). However, this division has been questioned in terms of its variables and its bias toward the USA (Lele and Siems, 2007), concluding that, in addition to law, there are other measures for shareholder protection, such as governance codes. To summarize, if there is an effect originating in the legal environment, its meaning has declined over time (Brown *et al.*, 2011), with a shift in focus from protecting minor shareholders from major shareholders to protecting shareholders from directors and managers (Lele and Siems, 2007).

When considering emerging economies, such as Taiwan and other Asian economies, the companies' overall weak post-merger operating performance compared to US companies is found to be strengthened by the corporate governance weaknesses, such as the board structure and concentrated shareholdings (Bae *et al.*, 2002; Huang *et al.*, 2014). The corporate governance problem is the expropriation of minority shareholders. However, Song and Rath (2010) find that the expropriation effect is not as strong in Malaysian family businesses as in other East Asian economies, such as in Korea (Bae *et al.*, 2002). In this vein, Craninckx and Huyghebaert (2015) argue that the external corporate governance regime does not succeed in protecting investors, as is assumed in the literature. They find that large family-controlled acquirers engage in value-creating acquisitions in non-diversifying deals, but only in Continental Europe. Feito-Ruiz and Menéndez-Requejo (2010) and Ben-Amar and André (2006) find that if the acquired firm is in a weaker institutional environment, there are likely to be more undervalued target firms available, and the market is likely to have little competitive control, which increases the shareholder valuation. In summary, the literature finds that a stronger (weaker) legal environment in the acquiring country and a (stronger) weaker environment in the target country has a positive (negative) effect on shareholder valuation. Otherwise, a weaker legal environment has a negative effect on shareholder valuation, and a stronger environment has a positive influence. Thus, the legal environment should be considered in future studies, but the measures should be reconsidered, because the effect of the legal origin (e.g. common law or civil law) appears to be declining (Brown *et al.*, 2011).

The majority of the studies examine large panels of data of thousands of companies and deals. However, with a largely understudied phenomenon, such as M&A in family firms, this may be problematic. Large samples are not found to be well translated into powerful descriptive models for specific transactions, because there are several factors influencing the outcomes (André *et al.*, 2014). Examples of such deals are described well by case studies that describe the M&A processes of individual companies, especially post-merger integration problems (Astrachan, 1988; Bjursell, 2011; McEntire and Bentley, 1996; Mickelson and Worley, 2003; Steen and Welch, 2006). For example, the shift of ownership to the next generation changes an active acquirer into a target (André *et al.*, 2014). These examples shed light on the potential determinants of poor post-deal performance, as reported by the other studies (e.g. Shim and Okamuro, 2011; Wong *et al.*, 2010).

3.3 Theories applied in the reviewed articles

Although no general "M&A theory" exists, the majority of the examined studies adopt agency theory as their theoretical basis in order to explain the differences between family and non-family firms. In addition, strategic management theories, such as the resource-based view, and organizational theories on organizational culture and integration are used.

For family business theories, the socioemotional wealth (SEW) view and stewardship and stagnation perspective are each applied in two studies. Table III summarizes the major theories applied in the reviewed articles, including the main theoretical arguments concerning family business M&A. Note that in some studies, a specific background theory could not be identified (Gonenc *et al.*, 2013; Leepsa and Mishra, 2013). To summarize, agency theory dominates studies on family business M&A. Agency theory has empirically proven

Theoretical bases	Description	Usage in family firm M&A studies
Agency theory & Entrenchment/alignment effect	In family firms the traditional principal-agent conflict with managerial opportunism does not necessarily exist or at least the costs are reduced due to the mutual interests. However, inseparation of ownership and control may cause other conflicts such as nepotism and harmful decisions due to self-control problems (Shleifer and Vishny, 1997; Bouzgarrou and Navatte, 2013)	André <i>et al.</i> (2014), Bae <i>et al.</i> (2002), Basu <i>et al.</i> (2009), Ben-Amar and André (2006), Bouzgarrou and Navatte (2013), Bauguess and Stegmöller (2008), Caprio <i>et al.</i> (2011), Chen <i>et al.</i> (2009), Craninckx and Huyghebaert (2015), De Cesari <i>et al.</i> (2016), Feito-Ruiz and Menéndez-Requejo (2010), Feldman <i>et al.</i> (2016), Franks <i>et al.</i> (2012), Geppert <i>et al.</i> (2013), Gleason <i>et al.</i> (2014), Huang <i>et al.</i> (2014), Klasa (2007), Li <i>et al.</i> (2015), Miller <i>et al.</i> (2010), Shim and Okamuro (2011), Song and Rath (2010), Wong <i>et al.</i> (2010), Zhou <i>et al.</i> (2011)
Stewardship/stagnation perspective	Two contradicting perspectives: stewardship perspective sees the family as a resource. The firm strives for continuity of the business and the employees, seeking closer connection with customers. The stagnation perspective sees the family as a barrier for resource acquisition, as they suffer from restricted access to financial resources, outdated organizational forms, family conflicts, and risk aversion (Miller <i>et al.</i> , 2008)	Miller <i>et al.</i> (2010), Granata and Chirico (2010)
Resource-based view (RBV)	The competitive advantage of a firm is based on its resources (Barney, 1991) Unique resource bundles have a particular role in family businesses, as the family and business relationships are intertwined, and also because a family's access to financial resources can be restricted by them or dependent on them (Granata and Chirico, 2010)	Granata and Chirico (2010), Geppert <i>et al.</i> (2013)
Socioemotional wealth (SEW)	Socioemotional wealth (SEW) comprises "the nonfinancial aspects of the firm that meet the family's affective needs, such as identity, the ability to exercise family influence and the perpetuation of family dynasty" (Gómez-Mejía <i>et al.</i> , 2007). It contradicts with the willingness to acquire external financial and managerial resources (Kellermanns <i>et al.</i> , 2012). For the preservation of SEW in a vulnerable state, family firms may engage in acquisitions even if they would avoid them in other situations	Gomez-Mejia <i>et al.</i> (2015), Pazzaglia <i>et al.</i> (2013)
<i>Other theories/perspectives</i>		
Social class theory	Social class, such as educational background and membership in elite social networks had an influence on the propensity to engage in the M&A wave in the USA in the 1960s	Palmer and Barber (2001)
Organizational culture	Mergers and acquisitions disrupt and shape existing organizational cultures and create new ones. Acculturation and cultural value systems influence the post-merger integration	Bjursell (2011), McEntire and Bentley (1996)

Table III.
Theoretical bases of
the reviewed articles

explanatory power, but it is problematic in the development of a field to rely too much on one theory, especially in family business research, because it may give a view that is too one-sided and vague for the family business phenomenon. This has been problematized in family business literature previously, where researchers have noted that agency theory assumes that decision-makers only pursue economic goals in their own interest (De Massis *et al.*, 2014), and ignore the presence of non-financial goals (Chrisman *et al.*, 2012). Indeed, Schulze *et al.* (2001) note the problems of self-control stemming from the family business governance structure that hamper the effectiveness of external control mechanisms, creating incentives for owners to take harmful actions. They note that opportunism exists for both managers and owners, which the straightforward agency assumption does not take into account. Therefore, agency theory may well fail to capture the heterogeneity of family firms and, thus, the variety of M&A deals. Furthermore, in order to engage with a particular family-business behavior, such as M&A, the ability and willingness conditions of family firm behavior should both be fulfilled, not one or the other, as most present theories assume. Owing to the assumption that “decision-makers only have economic goals and are always willing to pursue their economic self-interest” (De Massis *et al.*, 2014, p. 349), agency theory is based entirely on the ability condition (De Massis *et al.*, 2014, p. 349), which neglects the influence of non-economic goals (Chrisman *et al.*, 2012). This leads to very different outcomes from those predicted by agency theory. In contrast, the stewardship and stagnation perspective is based on willingness, assuming that a family’s goals are aligned with those of their business. This is an important implication for future studies when considering a suitable theoretical framework, because ignoring either of these conditions, or examining them separately, may create problems in terms of validity and empirical determinacy (De Massis *et al.*, 2014). Future studies could also apply alternative theoretical frameworks, such as the SEW view (applied in two of the examined studies) or the 3P perspective (not applied in any of the studies) (Carney, 2005), in order to contribute to a more holistic understanding of M&A in family firms. In this study, this critique on agency theory implies that, when interpreting the findings, we need to keep in mind that the theoretical basis of the studies relies heavily on the assumptions of agency theory, thus leading to one-sided results.

Compared with the family business literature, the topics in the general M&A literature are more diverse, and are divided into four “schools of thought,” according to their research focus (Birkinshaw *et al.*, 2000; Haspeslagh and Jemison, 1991): financial economics, strategic management, organizational behavior, and the process perspective. In a similar vein, the findings of these studies are organized in thematic groups, according to their main subject matter: M&A propensity, process, and performance (six studies examine two of these subjects; the remainder focus on a single main theme). Studies in the M&A propensity group (16 studies) examine the frequency with which family firms engage in M&A, as compared with non-family firms, the effects acquisition propensity has on the company (De Cesari *et al.*, 2016), and the acquisition determinants, either as an acquirer (Geppert *et al.*, 2013) or as a target (Achleitner *et al.*, 2010; Klasa, 2007). Studies in the process category (7) describe the M&A process in firms, often focusing on a single company (Mickelson and Worley, 2003) or a single deal (André *et al.*, 2014), and concentrate specifically on the post-merger integration (McEntire and Bentley, 1996) and cultural issues, both between the companies (Bjursell, 2011; McEntire and Bentley, 1996; Mickelson and Worley, 2003) and with the community (Astrachan, 1988). The organizational behavior school of M&A literature focuses on cultural fit and integration, examined by studies in the process category, combined with the last school, the process perspective, which examines topics such as the speed of integration and communication topics. Finally, the majority (23) of the analyzed studies are organized in the performance group, concentrating on the deal performance and value creation in M&A, as compared with non-family businesses. This complies with the

financial economics school that focuses on the wealth effects for shareholders and the M&A performance measurement. The strategic management school examines topics such as strategic fit, relatedness, similarity, and complementarity, as well as their influence on M&A performance. These are not examined directly in the analyzed studies. In the following section, and in Table IV, the main findings of each category are reviewed.

4. Thematic categories

4.1 Propensity

The majority of the studies in this category examine the activity and likelihood of a firm to engage in an M&A, or the factors influencing the likelihood of pursuing M&A activities, whether actively or passively. The studies in this category compare family and non-family firms' activities over a certain period using quantitative methods (event study). There are 14 studies in this category, nine of which find that family firms made fewer acquisitions (e.g. Bauguess and Stegemoller, 2008; Caprio *et al.*, 2011; Miller *et al.*, 2010; Shim and Okamuro, 2011; Sraer and Thesmar, 2007) also during the US merger wave in the 1960s (Palmer and Barber, 2001). This is stated as being due to their risk aversion and willingness to keep control within the family (Miller *et al.*, 2010; Shim and Okamuro, 2011; Caprio *et al.*, 2011). The lower acquisition activity is also explained by the family firms' unique features, such as internal growth preferences and risk aversion (Caprio *et al.*, 2011), lack of competent managers (Miller *et al.*, 2010), and industry and legal environment differences (Franks *et al.*, 2012). It is also argued that the protective governance means family firms are less attractive acquisition targets (Caprio *et al.*, 2011). Furthermore, family firms have other growth preferences and goals altogether (Feito-Ruiz and Menéndez-Requejo, 2010; Caprio *et al.*, 2011). On the basis of the same arguments, family firms prefer domestic deals to cross-border deals (Chen *et al.*, 2009).

For the passive side of acquisitions, the findings of the analyzed studies suggest that family firms sell their business (or a part of it) less often (Feito-Ruiz *et al.*, 2016; Feldman *et al.*, 2016; Zhou *et al.*, 2011). The acquisition propensity as a seller is found to depend on various factors. For example, one study states that the bidder may have to pay a premium to convince the family to sell (Gonenc *et al.*, 2013), and that the industry in which the company is active influences the M&A activity (Franks *et al.*, 2012). Klasa (2007) finds that optimal risk-bearing factors, timing, and financial slack are the primary determinants for family firms to sell. Optimal risk-bearing factors include succession and monitoring benefits provided by outside blockholders, timing refers to the momentary market valuation, and financial slack refers to unutilized resources. Additionally, an increase in firm size and complexity increases the likelihood of selling the company.

All studies, except one, examine this using quantitative methods. One study combines qualitative methods (interviews) with statistical secondary data (Geppert *et al.*, 2013). The latter case analyses the acquisition strategies of four case companies in the brewery industry, and finds that, compared with non-family firms, family firms adopt a more cautious, "wait and see" acquisition strategy, and do not engage in bidding wars. This is similar to the findings of Gomez-Mejia *et al.* (2015) that family firms are reluctant to engage in acquisitions, because they pose a threat to their socioemotional utility. However, if they feel vulnerable, they may prioritize financial utility over socioemotional utility, and may engage in the acquisition of unrelated targets, increasing their complexity, spreading the risk, and protecting themselves from takeovers.

To summarize, few studies examine the propensity of family firms to engage in M&A, or the factors affecting this approach. The findings suggest that for active acquisitions, family firms are hesitant and cautious in terms of engaging in M&A. However, if they perceive that their socioemotional utility is threatened, and the vulnerability exceeds the financial threat, they may choose to engage in diversifying acquisitions. On the passive side, the reasons to sell may include risk-bearing factors, complexity, succession issues, and outside monitoring.

Year	Authors/journal	Topic area	Main findings
1988	Astrachan/FBR	M&A process	The acquiring firm should take into account and plan the way in which the acquired firm as well as its community are planned to be managed, as well as the fit between their intentions and the existing cultural assumptions
1996	McEntire and Bentley/IJOA	M&A process	The merger of two family companies, describes losses experienced by the stakeholders in integrating the two companies: identity, reputation and customer confusion
2001	Palmer and Barber/ASQ	M&A propensity	Examines the merger wave of 1960s in the USA. Family firms had a lower propensity to engage in diversifying acquisitions
2002	Bae <i>et al.</i> /JoF	M&A performance	In Korean business groups, the controlling family uses acquisitions for tunneling wealth to the other group firms.
2003	Mickelson and Worley/FBR	M&A process	Enlists critical points in acquiring a family firm. Family firm culture and cultural fit is an important determinant in merger process. It affects the acquisition motives and agreement structure
2006	Ben-Amar and André/JBF&A	M&A performance	Better abnormal returns in acquisitions for family controlled firms. The Canadian strong legal environment may decrease the opportunist behavior
2006	Steen and Welch/FBR	M&A process	Confirms family firms' uniqueness as acquisition target. Demonstrates how extensive and intertwined family firm's networks may become and that they are of significant value when a firm is sold; describes how family influence can be maintained even after a takeover
2007	Klasa/JFQA	M&A propensity	Publicly owned family firms sell their ownership stake mostly due to optimal risk-bearing factors, complexity of operations, CEO succession issues, and the monitoring provided by outside shareholders
2007	Sraer and Thesmar/JEEA	M&A propensity and performance	Family firms with an outside CEO make the least value-destroying acquisitions, compared to founder- and heir CEOs
2008	André <i>et al.</i> /CJAS	M&A process	A generational transition lead a family firm to an acquisition target. The minority stakeholders of the target firm benefited, whereas the acquirer firms' stakeholders experienced loss of value
2008	Bauguess and Stegemöller/JCF	M&A propensity and performance	Family firms destroy value when acquiring due to agency costs, and they are less attractive for external investors as targets
2009	Basu <i>et al.</i> /JB&F	M&A performance	Family firms with high level ownership make value-increasing acquisitions, whereas as target the greater value creation is connected to low family ownership
2009	Chen <i>et al.</i> /CGIR	M&A propensity	Family firms prefer domestic deals due to their risk reluctance
2010	Achleitner <i>et al.</i> /EFM	M&A propensity	Acquisition propensity by private investors depends on the shareholders' monitoring: strong monitoring by majority shareholders decreases the propensity to be acquired by private
2010	Feito-Ruiz and Menéndez-Requejo/FBR	M&A performance	Major family ownership affects positively and significantly the shareholder valuation, also negative effects found at > 32% ownership, possibly because of the differences in legal and institutional environment of the samples.
2008	Goossens <i>et al.</i> /IJPE	M&A performance	Acquisition objectives can include non-financial aims After a family has sold a firm, there is no effect found on its later performance in the long run. However, the post-deal ownership type does have an effect: Private equity backed buyouts grow significantly more

Table IV.
Main findings
of the articles

(continued)

				M&A in family businesses
Year	Authors/journal	Topic area	Main findings	
2010	Granata and Chirico/FBR	M&A performance	Acquiring companies evaluate family firm targets lower than non-family ones. They are regarded as unprofessional and ineffective	
2010	Miller <i>et al.</i> /SMJ	M&A propensity and performance	Family firms make more diversified acquisitions (to reduce risk of the wealth portfolio). They make acquisitions of less value, but no evidence is found that family ownership would affect performance	
2010	Niedermeyer <i>et al.</i> /E&RD	M&A performance	On the seller side, according to a theoretical model, the family's satisfaction with selling the firm depends on many factors, most of which are non-financial. Also, the evaluation of the sale takes longer than in a non-family business sale	
2010	Song and Rath/A-PJE&B	M&A performance	Performance is contingent to the ownership structure: family firms have a better post-M&A performance compared to non-family firms due to their long-term orientation, resource alignment and better planning	
2010	Wong <i>et al.</i> /CGIR	M&A performance	Firms with family-controlled boards received lower market valuations upon the venturing announcements. Highlights the unique characteristics of family control	
2011	Bjursell/JFBS	M&A process	Values of the family and firm culture guide the ownership goals, which affect the business activities. Cultural fit is an important determinant in merger process	
2011	Caprio <i>et al.</i> /JCF	M&A propensity and performance	Family firms are less likely to make acquisitions, especially when they fear of losing family control. They prefer internal growth instead. No effect on acquisition performance found	
2011	Shim and Okamuro/JB&F	M&A performance	Family firms obtain lower gains from mergers compared to non-family firms	
2011	Zhou <i>et al.</i> /JCF	M&A propensity	In a financial crisis, family firms do not engage in M&A activities nor divestitures, but hold on to their core business	
2012	Franks <i>et al.</i> /RFS	M&A propensity	Industries with high investment opportunities and M&A propensity lead to the disappearance of family firms, especially in the UK, which has a strong legal environment for investors. In countries with weak investor protection, family firms stay controlled by the family and are concentrated in industries with low M&A propensity	
2013	Bouzgarrou and Navatte/IRFA	M&A performance	Family firms outperform non-family firms both on short- and long-term performance	
2013	Geppert <i>et al.</i> /BJM	M&A propensity	By comparing two pairs of companies, it is found that family firms have lower resource-related risk as well as investment risk, which leads to a more cautious acquisition strategy ("wait and see")	
2013	Gonenc <i>et al.</i> /IBR	M&A performance	Family control influences the financial decisions. Bidders' gains are lower when they acquire family-owned targets compared to non-family targets. This may be because they may have to pay a premium to convince the family owners to sell	
2013	Leepsa and Mishra/Decision	M&A performance	In acquisitions of manufacturing firms in India, no differences in acquisition performance are found	
2013	Pazzaglia <i>et al.</i> /FBR	M&A performance	Firms that are acquired by families perform lower earnings quality due to the lower level of identification compared to family firms that are owned by ultimate owners	
2014	André <i>et al.</i> /JM&G	M&A performance	Find a positive relationship between family ownership and announcement period abnormal returns	
2014	Bernini <i>et al.</i> /Sinergie	M&A performance	Family ownership does not influence the value of acquisitions, but family control in management is connected to lower acquisition value	

(continued)

Table IV.

Table IV.

Year	Authors/journal	Topic area	Main findings
2014	Huang <i>et al.</i> /A-PJFS	M&A performance	Family-owned acquirers have a negative influence on the operating performance of targets with low growth expectations
2014	Gleason <i>et al.</i> /JEF	M&A performance	Acquirers should consider the ownership structures of target firms. Bidders are found to face significantly negative returns in the long run
2015	Craninckx and Huyghebaert/EMJ	M&A performance	Acquiring family firms create value, except in diversifying acquisitions
2015	Gomez-Mejia <i>et al.</i> /JoM	M&A propensity	Family firms engage in defensive acquisitions, in order to protect socioemotional wealth. They prefer related acquisitions
2015	Li <i>et al.</i> /JABR	M&A process	Acquisition learning in Chinese M&A (private placement). Family members' participation in the process reduces the probability of managers to learn from the market
2016	De Cesari <i>et al.</i> /JCF	M&A propensity	CEOs in non-family firms, that undertake acquisitions, receive an increase in compensation, unlike CEOs in family firms. For CEOs in non-family firms also the CEO turnover declines when acquisitions are undertaken, but no such effect is found in family firms
2016	Feito-Ruiz <i>et al.</i> /AE	M&A propensity	Family firms are less likely to accept a reverse takeover
2016	Feldman <i>et al.</i> /SMJ	M&A performance	Family firms, especially managed by a family CEO, are less likely to undertake divestitures. Higher post-divestiture performance compared to non-family firms

Several acquisition determinants are examined by two kinds of studies, from the acquirer side (Gomez-Mejia *et al.*, 2015) and the target side (Feito-Ruiz *et al.*, 2016; Franks *et al.*, 2012; Klasa, 2007). However, they are few in number, and there remains some doubt over why family firms engage in acquisitions, especially as there are examples of family goals driving acquisitions (Mickelson and Worley, 2003).

4.2 Process

This category includes seven studies, six of which are qualitative single-case studies describing the family firm M&A process, concentrating primarily on the integration process and the issues arising from cultural differences between the companies. One of the studies is quantitative, examining the learning from the market. Many of the studies propose an agenda or suggest reasons why companies engage in M&A involving a family business. The number of the studies in this category is low. Thus, while the results cannot be statistically generalized, a theoretical generalization is possible (Parker and Northcott, 2016). These studies find that the nature and culture of family firms affect their acquisition motives and integration phase, especially the cultural integration (Mickelson and Worley, 2003; Bjursell, 2011). Their uniqueness as acquisition targets is highlighted (Mickelson and Worley, 2003; Steen and Welch, 2006), especially because family goals guide the motives of an acquisition. Thus, understanding these factors is important to ensure a smooth M&A process (Mickelson and Worley, 2003). The roles of family business executives and family involvement after the M&A process (Steen and Welch, 2006) and hiring a family business advisor (Mickelson and Worley, 2003) are also highlighted as contributing to the success of a deal. Furthermore, Astrachan (1988) notes that the acquirer should assess the target beforehand, as well as how it intends managing it and the community.

Two studies examine a merger of two family firms (Bjursell, 2011; McEntire and Bentley, 1996). McEntire and Bentley (1996) suggest various acculturation themes that merging companies need to consider. In their case, two family-led firms merge due to a

generational transition and hopes of achieving a level of synergy. After a chaotic first half of the year for the company, the officers began to actively resolve their problems. In the other study, the merger ceased after a few years, because the two family cultures were seen as too different, and the companies could not agree on the use of shares. A study by André *et al.* (2008) demonstrates the blockholders' power in a case where a successful family-owned acquirer became an acquisition target because of a strategic reorientation, owing to the absence of a strong controlling shareholder and weak board governance. The mother company experienced a generational transition, and the second-generation CEO wanted to dispose of the unit, even though it was successful in all areas. They merged with a company with potential synergies, but there were several problems, such as failures in the post-merger integration, which resulted in a loss of experienced executives. Furthermore, high premiums were paid to the CEOs, incurring significant debt, which further undermined the post-merger performance. Finally, the one quantitative study in this category examines whether there are differences in the learning effects between family and non-family firms in terms of M&A deals (Li *et al.*, 2015). Although this study differs methodologically from the other studies in this category, it is included in this group because learning is part of the process. Therefore, it may include cancelling the deal or changing the conditions, depending on the result, thus not examining an already completed deal or its performance. The learning effect is measured by the market response to the acquisition announcement. They examine whether managers utilize the market response to adjust their decisions, such as cancelling deals, arguing that family involvement reduces the probability of managers' learning. Managers in family firms with low ownership are more likely to ignore market feedback.

The studies in this category illustrate the problems in interpreting firms' governance and performance in terms of their M&A strategies, as well as ways in which a company can interpret the market information on its M&A process. The results shed light on the potential determinants of poor post-merger performance, as identified in prior studies and described in the following section.

4.3 Performance

The majority of the analyzed studies fall into the performance group (24 studies). These studies concentrate on the deal or the company performance, measured by the value creation for shareholders after the deal, compared with non-family businesses. The findings are contradictory. This is not surprising, because the empirical findings are mixed for both family business performance (e.g. O'Boyle *et al.*, 2012) and M&A performance (Ellis *et al.*, 2009; King *et al.*, 2004). A few studies suggest better abnormal returns for family firms, as well as better shareholder value creation after an M&A deal (e.g. André *et al.*, 2014; Ben-Amar and André, 2006; Basu *et al.*, 2009; Feito-Ruiz and Menéndez-Requejo, 2010; Bouzgarrou and Navatte, 2013), except when they engage in diversifying acquisitions (Craninckx and Huyghebaert, 2015). In contrast, others find that family businesses destroy value when acquiring another firm (Bauguess and Stegemoller, 2008; Gleason *et al.*, 2014; Leepsa and Mishra, 2013), benefit less from acquisitions (Shim and Okamuro, 2011), and that family control has a negative effect on the market value, in comparison with the case of non-family firms (Wong *et al.*, 2010). Huang *et al.* (2014) find that, especially in firms with low growth prospects, family ownership weakens the post-deal operating performance. Two studies, however, find that family ownership has no effect on M&A performance (Miller *et al.*, 2010; Caprio *et al.*, 2011). Furthermore, family firms as targets are found to be evaluated lower than are non-family firms (Granata and Chirico, 2010), and the bidder's gains are lower when the target is a family firm, rather than a non-family firm (Gonenc *et al.*, 2013). One study examines a family business that sold the firm through a buyout (Goossens *et al.*, 2008), but no influence on performance is found.

Finally, a few studies adopt another point of view on performance. Pazzaglia *et al.* (2013) find that if the family has obtained ownership through an acquisition (rather than heritage), the earnings quality is lower because of the lower identification. Thus the acquisition, *per se*, has no impact on the firm performance, but the socioemotional utility and identification by the family foster performance. Niedermeyer *et al.* (2010) examine the performance from the selling family's side, and propose a theoretical model for the factors influencing the satisfaction of the family after selling the business. They argue that most of the factors affecting satisfaction are non-financial, such as the decision to sell the business, the attributes of the sale process, remaining interest and influence after the sale, and the family identity after the sale. It is also noted that the evaluation of the sale and the process differs from that of non-family businesses. This theoretical model could be tested empirically by future research.

To summarize, the findings in the performance category are contradictory. Thus, it cannot be concluded that either family or non-family firms perform better in M&A. Some studies take into account the legal environment and corporate governance systems, but not all, which may be an important determinant to be considered in future studies. A further source of inconclusiveness stems from the variety of family firm definitions applied in the examined studies. Though many of the studies test their results with different levels of family ownership, the variety of definitions makes comparisons of the findings difficult. However, it is probable that no coherent, all-encompassing definition for such a complex and multifaceted phenomenon as family firms is possible, although attempts exist (e.g. Astrachan *et al.*, 2002). Researchers should thoroughly define the types of family firms examined in their research. In addition, almost all studies examine performance from the acquirer's side, but not the seller's side. Thus, there is a lack of consensus on whether family ownership has an effect on M&A performance.

5. Future research

The findings indicate that the scope of research in family business' M&A is narrow, resulting in relatively few articles being included in the analysis. However, the findings show that the M&A behavior differs from that of non-family firms in several ways, for example with regard to their acquisition propensity, process, and performance. This suggests that considering the governance type of a firm is important when examining M&A. This section concentrates on possible areas for future research.

5.1 M&A propensity

The findings from the propensity category state that family firms are less likely to engage in M&A activities than are their non-family counterparts. Moreover, it is considered that they have other growth preferences (Caprio *et al.*, 2011) and family-related, non-financial goals (Feito-Ruiz and Menéndez-Requejo, 2010; Gomez-Mejia *et al.*, 2015) with regard to M&A. For this reason, their overall goals and motives in acquisitions should be explored more specifically, both for the acquirer (Miller *et al.*, 2010) and the seller (Klasa, 2007). There are several reasons for this. First, prioritizing non-financial goals is one of the most central principles in family business research (Chua *et al.*, 1999). Second, understanding the family goals in M&A increases the understanding of performance, which can be understood as the successful achievement of goals (Payer-Langthaler and Hiebl, 2013), as "despite decades of research, the conditions under which M&As enhance or destroy firm value still remain unclear" (Ellis *et al.*, 2009). Thus, through exploring the connection between the specific goals set for the merger, one could understand and determine the failure or success better. Generally, considering the overall goals and motives would shed light on the pre-merger phase, an area in the general M&A literature that is underexplored (see Table V). This could be examined also by

					M&A in family businesses
Year	Authors/journal	Propensity	Process	Performance	
1988	Astrachan		X		
1996	McEntire and Bentley		X		
2001	Palmer and Barber	X			
2002	Bae <i>et al.</i>			X	
2003	Mickelson and Worley		X		
2006	Ben-Amar and André			X	
2006	Steen and Welch		X		
2007	Klasa	X			
2007	Sraer and Thesmar	X		X	
2008	Goossens <i>et al.</i>			X	
2008	André <i>et al.</i>		X		
2008	Bauguess and Stegemoller	X		X	
2009	Basu <i>et al.</i>			X	
2009	Chen <i>et al.</i>	X			
2010	Achleitner <i>et al.</i>	X			
2010	Feito-Ruiz and Menéndez-Requejo			X	
2010	Granata and Chirico			X	
2010	Miller <i>et al.</i>	X		X	
2010	Niedermeyer <i>et al.</i>			X	
2010	Song and Rath			X	
2010	Wong <i>et al.</i>			X	
2011	Bjursell		X		
2011	Caprio <i>et al.</i>	X		X	
2011	Shim and Okamuro	X		X	
2011	Zhou <i>et al.</i>	X			
2012	Franks <i>et al.</i>	X			
2013	Bouzgarrou and Navatte			X	
2013	Geppert <i>et al.</i>	X			
2013	Gonenc <i>et al.</i>	X		X	
2013	Leepsa and Mishra			X	
2013	Pazzaglia <i>et al.</i>			X	
2014	André <i>et al.</i>			X	
2014	Bernini <i>et al.</i>			X	
2014	Huang <i>et al.</i>			X	
2014	Gleason <i>et al.</i>			X	
2015	Craninckx and Huyghebaert			X	
2015	Gomez-Mejia <i>et al.</i>	X			
2015	Li <i>et al.</i>		X		
2016	De Cesari <i>et al.</i>	X			
2016	Feito-Ruiz <i>et al.</i>	X			
2016	Feldman <i>et al.</i>			X	
		16	7	24	

Table V.
M&A phases
examined in the
retrieved articles

qualitative methods, which might reveal the underlying assumptions and attitudes of family firms with regard to M&A that current quantitative studies have not been able to capture:

RQ1a. What external and internal factors and motives influence the M&A propensity of family firms?

RQ1b. Under what conditions do family firms seek to acquire other firms?

RQ1c. Under what conditions do family firms seek their firm be acquired by another firm?

RQ1d. Do these conditions differ from those of non-family firms?

RQ2. How do family firms evaluate these internal and external factors preceding an M&A?

5.2. M&A process

In the process category, the findings state that cultural aspects affect the merger process and, thus, the strategic objectives (Bjursell, 2011). In addition, family-specific networks (Steen and Welch, 2006) influence the merger motives, process, and its outcomes (Mickelson and Worley, 2003). However, how family firms perceive the cultural values and their importance in a merger, and how specific cultural issues, such as power structures, affect the integration process provide questions for further research (Bjursell, 2011). Furthermore, questions on how a merger influences the culture of family business (Bjursell, 2011), and the family firm factors that influence the integration phase and its success (Mickelson and Worley, 2003), especially the influence of embedded networks (Steen and Welch, 2006), can be explored in future studies. This would also be an important contribution to the strategic management school in general M&A literature, which concentrates specifically on strategic fit (Sarkar *et al.*, 2001). Examining the perceived fit of firms and the planning of mergers in a family firm setting would provide a greater understanding of the specific strategic preferences in family firms, as their preferences, goals and thus the perceived fit seem different from non-family firms. This would greatly help practitioners support transactions involving family firms. Furthermore, existing studies have examined only merging or target family firms; the point of view of an acquiring family firm would add important insights to complement the picture, especially in terms of the effect on the firm's and family's culture. Thus, following research questions are suggested:

- RQ3. Which features of family firms enhance and which hinder the post-merger integration process?
- RQ4. How is the family company's culture changed through an M&A?
- RQ5. How do acquiring family firms perceive and measure the fit of possible M&A targets?
- RQ6. Does the M&A process differ in family and non-family firms?

5.3 M&A performance

The results in the performance category lack consensus. This leaves the question of family firms' acquisition performance unanswered and, thus, a topic for future research. Alternative valuations, for example considering overall performance and the achievement of the family firm's goals as a measure of performance, could add other measures to research. Existing studies measure performance using various stock market values, such as abnormal returns and earnings measures such as EBIT, EBITDA, and multiples. Only in the process category are there qualitative single-case studies that use explorative and organizational ethnography methods, where key management persons were interviewed. Future studies could use multiple cases, methods, and the views of people from other organizational levels to obtain a richer picture of the effects of an acquisition on an organization. In addition, the target-side perspective should be considered in performance studies. Moreover, the effect of the legal environment should be considered more broadly in future studies because it has a possible influence when the performance is measured in terms of stock market reactions (Ben-Amar and André, 2006; Feito-Ruiz and Menéndez-Requejo, 2010). Furthermore, the schools of thought in general M&A literature (Haspeslagh and Jemison, 1991) provide areas for future research. In particular, the strategic management school, which examines the strategic attributes influencing a firm's performance, provides fruitful areas for research from a family firm perspective, such as the strategic fit, relatedness and complementarity of the companies, and performance measurement based on these factors, not only on stock market evaluations. In addition, the organizational behavior school, which examines the

cultural fit and integration in M&A, offers promising areas for research involving family firm perspectives. For example, the fit and similarity of acquisition partners, and the degree of integration from the family firm perspective could be assessed. Furthermore, as discussed above, the strategic fit, the similarity and complementarity contribute significantly to successful deals (Bauer and Matzler, 2014; Sarkar *et al.*, 2001). This would greatly advance the knowledge on the pre-merger phase and to the general M&A literature, because the specific features and global prevalence of the family business perspective could yield important insights not yet considered by the literature:

RQ7. How does family ownership influence M&A deal performance?

RQ8a. How do acquiring family firms define a successful M&A deal?

RQ8b. How do target family firms define a successful M&A deal?

RQ9. How do the deal counterparts' fit and similarity contribute to the success of a deal in family firms?

5.4 Theoretical bases and methodologies

The majority of the studies base their arguments on agency theory and its twofold effects (entrenchment-alignment effect). In addition, the SEW perspective, resource-based view, and stewardship and stagnation perspective are applied in a few studies. However, when examining family firms and their behavior, both the ability and willingness conditions should be considered when planning a theoretical model in order to avoid serious limitations, both theoretically and empirically. As De Massis *et al.* (2014) note, "the potential value of studying the family firms is lost if only half the puzzle is considered." The majority (83 percent) of the examined studies apply quantitative methods, examining stock market reactions or the number of M&A deals. However, the findings concerning the determinants of poor post-deal performance and integration problems described by seven of the studies applying qualitative methods imply that large samples may not transfer well to explanatory models (André *et al.*, 2008). The qualitative studies in the analysis also consider the deal success, though often in a more holistic manner, not only in terms of shareholder value, but also the degree of integration (McEntire and Bentley, 1996) and other stakeholders' views (Astrachan, 1988), as well as showing how these influence firm performance after the deal. Additionally, as mentioned above, it seems that the current methods applied in the M&A literature fail to capture the conditions under which M&A create or destroy value (Ellis *et al.*, 2009; King *et al.*, 2004).

Alternative theories could provide the motives behind family firms' acquisition decisions, because current research relies exclusively on agency theory, which ignores the existence of non-financial goals and the ability and willingness conditions, which guide family business' decisions. For example, the SEW and 3P perspectives take additional preferences into account. The explanatory effects of, for example, agency theory are not straightforward, because it ignores many features essential to the nature of family firms: the willingness condition in family-oriented behavior; the influence of non-financial, family-related goals; and the willingness to preserve SEW. According to the ability and willingness conditions, family firms have a different propensity to engage in M&A, but the conditions are also differentiable, because both guide their actions (De Massis *et al.*, 2014). These are features specific to family firms, which is why they should be considered in future studies in order to increase the understanding of family firms' M&A decisions:

RQ10a. How do ability and willingness guide family firms' M&A decisions?

RQ10b. How does the willingness to preserve SEW guide family firms' M&A decisions?

6. Limitations

This review is not without limitations. First, the keyword search was retrieved from five different databases, and then from 20 journals. Although the journals were selected according to the results of a recent review in the family business and corporate governance literature (Pindado and Requejo, 2015), using other journals, search engines, or keyword combinations might provide different results. Second, the criteria applied (Randolph, 2009), such as the publication type, and the main theme in reviewing the articles is subjective; hence, as with other criteria, the results could have been different. Thus, some publications may have been left out of the review. However, the explicit criteria applied and the systematic manner of the review ensure that the analyzed articles suit the review theme and provide appropriate results concerning research questions. Furthermore, the citation search provided additional suitable results.

7. Conclusions

The findings confirm that the literature concerning family business M&A is dispersed over corporate finance and family business topics. The findings can be categorized into three overarching themes: M&A propensity, process, and performance. It is found that family firms engage in M&A activities more seldom than do their non-family counterparts (Bauguess and Stegemoller, 2008; Caprio *et al.*, 2011), and when they do, they prefer more diversified acquisitions (Miller *et al.*, 2010). Contrastingly, it is found that family firms prefer related acquisitions, except if they perceive their socioemotional utilities to be threatened (Gomez-Mejia *et al.*, 2015). In addition, their M&A strategy (Geppert *et al.*, 2013) and process (Bjursell, 2011; Mickelson and Worley, 2003) differ from those of non-family businesses. The latter case is described more as “wait and see” and not engaging in bidding wars (Geppert *et al.*, 2013). The family business culture and family goals influence the acquisition motives. Most of the examined studies focus on the performance differences between family and non-family firms in M&A deals. However, these findings are contradictory, as in the general M&A literature, where “inconsistency is consistent” (Cartwright and Schoenberg, 2006). Indeed, it seems that, especially in the post-deal performance, the research is unable to specify the variables moderating the performance, which indicates that current M&A theory and methods may need to be adjusted (King *et al.*, 2004). The findings confirm that the governance type influences M&A behavior, which is why it is important to consider, and that there is a need for further research on this topic with regard to the increasing M&A phenomenon, family business prevalence, and the different M&A implications for family firms.

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Further reading

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(The Appendix follows overleaf.)

Table A1.
Keywords and
numerical results of
the literature search

Appendix

Keywords	Databases											
	ABI/Inform Global			Web of Science			EBSCO Business Source			SAGE online**		
	Hits	Fit	Double	Hits	Fit	Double	Hits	Fit	Double	Hits	Fit	Double
Limit to: peer reviewed												
"Family Business" and "mergers and acquisitions"	204	5	0	1	0	0	10	4	1	70	5	4
"Family Business" and merger	672	10	4	12	1	1	40	11	9	235	5	5
"Family Business" and acquisition	1,298	6	4	17	1	1	50	12	11	592	6	5
"Family Firm*" and "mergers and acquisitions"	201	3	3	7	4	4	11	4	4	39	5	5
"Family Firm*" and merger	617	5	3	22	10	9	60	13	13	132	5	5
"Family Firm*", and acquisition	969	5	4	40	12	10	78	18	17	283	6	6
"Family control*" and "mergers and acquisitions"	179	6	6	4	3	3	1	0	0	26	3	3
"Family control*" and merger	480	10	10	8	4	4	18	6	6	93	3	3
"Family control*" and acquisition	665	9	9	13	8	8	17	8	8	150	4	4
"Family led" and "mergers and acquisitions"	8	1	1	0	0	0	1	0	0	2	1	1
"Family led" and merger	15	1	1	0	0	0	1	0	0	8	1	1
"Family led" and acquisition	25	1	1	1	0	0	0	0	0	24	1	1
Family own* and "mergers and acquisitions"	358	12	11	13	3	3	14	5	5	0	0	0
Family own* and merger	955	7	7	34	8	7	50	15	15	0	0	0
Family own* and acquisition	1,580	8	8	31	8	8	61	15	15	0	0	0
"Family enterprise" and "mergers and acquisitions"	98	0	0	0	0	0	1	0	0	16	1	1
"Family enterprise" and merger	190	0	0	1	0	0	1	0	0	51	1	1
"Family enterprise" and acquisition	249	0	0	1	0	0	4	0	0	118	1	1
"Home based" and "mergers and acquisitions"	79	0	0	1	0	0	1	0	0	32	0	0
"Home based" and merger	234	0	0	2	0	0	3	0	0	169	0	0
"Home based" and acquisition	653	0	0	70	0	0	11	0	0	1,307	0	0
Total	9,729	89	72	278	62	58	433	111	104	3,347	48	46
Total after removing duplicates	17			4			7			2		
Database search:	36											6
Journal search:	1											
Expert suggestion	1											
Cited by -search	3											
T total	41											

Notes: *Abstract search was performed in order to narrow the search, as all fields/full text yielded over 13,000 results; ** Asterisk search not possible in SAGE

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1. Ignacio Requejo, Fernando Reyes-Reina, Maria J. Sanchez-Bueno, Isabel Suárez-González. 2018. European family firms and acquisition propensity: A comprehensive analysis of the legal system's role. *Journal of Family Business Strategy* 9:1, 44-58. [[Crossref](#)]